CHAPTER 5: THE 100-BAGGERS OF THE LAST 50 YEARS

AT THIS POINT IN OUR STUDY, WE'VE ALREADY accomplished a lot. I've introduced you to the remarkable Thomas Phelps and some of his wisdom and ideas. You've also seen how ordinary people can achieve the lofty returns of 100-baggerdom by simply holding onto good stocks. And we've traced out the basic outlines of what a 100-bagger looks like.

A 100-bagger is the product of time and growth. To net a 100-bagger, you need to hang onto a quality stock for a number of years. I like to emphasize the hard mathematical reality of turning $10,000 into $1 million.

In fact, there is another fact about the pattern of 100-bagger returns you should know.

If you buy a stock that returns about 20 percent annually for 25 years, you'll get your 100-bagger. But if you sell in year 20, you'll get "only" about 40 to 1 — before taxes. The last five years will more than double your overall return (assuming the annual return is constant). So, you must wait.

This is not to discourage you. You can earn great returns in less than 20 years. But I want to get you to think big.

As an aside, holding on is the most tax-efficient way to invest since you don't pay taxes on any gains — instead allowing gains to compound tax-free. Consider an example, courtesy of Chuck Akre, whom I mentioned in the first chapter.

Let's say Mr. Jones and Mr. Smith each invest $1 million in Berkshire Hathaway in 1977 — a superpowered stock that gets its own chapter in this book, chapter 8. But let's say Jones likes to take his